

25STCV12178 25STCV12178

County: los-angeles

Division: Civil Law and Motion

Department: 11

Hearing date: 2026-06-30

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SS%20%2C11%2C06%2F30%2F2026

Source SHA-256: 4a5b3533cd1e88a5d26752db82538f34f4b962f2d625a27209db96c7173225cf

Case Number: 25STCV12178 Hearing Date: June 30, 2026 Dept: 11

Preliminary Approval of Class Action

Settlement

Department SSC-11

Hon. Bruce G. Iwasaki

Nart Khatib v. HMM Associates, Inc.

Case

No.: 25STCV12178

Hearing: June 30, 2026

TENTATIVE RULING

GRANT

preliminary approval.

BACKGROUND

Plaintiff

Nart Khatib sues his former employer, Defendants HMM Associates, Inc., RDM Management, Inc., and B2RE Corporation (collectively, "Defendants"), for alleged wage and hour violations. Defendants provide property management services. Plaintiff seeks to represent a class of Defendant HMM Associates, Inc.'s current and former non-exempt employees who worked as Resident Managers.

On

April 24, 2025, Plaintiff Khatib filed the initial Complaint in this action, alleging Defendants failed to: (i) pay all minimum wages; (ii) pay all overtime wages; (iii) provide all lawful meal periods; (iv) authorize and permit all lawful rest periods; (v) timely pay all wages; (vi) issue accurate, itemized wage statements; (vii) timely pay all final wages; (viii) reimburse all necessary business expenditures; and (ix) comply with California's Unfair Competition Law.

On

June 30, 2025, Plaintiff filed the operative First Amended Complaint, adding a cause of action for civil penalties under the PAGA.

On December 5, 2025, the Parties

participated in a full day mediation with Jason Marsili, Esq., which resulted in settlement. The terms of settlement were finalized in the long-form Class Action and PAGA Settlement Agreement ("Settlement Agreement"), a copy of which is attached to the Declaration of Matthew K. Moen ("Moen Decl.") as Exhibit 1.

Now

before the Court is the Motion for Preliminary Approval of the Settlement.

SETTLEMENT CLASS DEFINITION

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"Class" means all current and former California non-exempt hourly employees of Defendant HMM Associates, Inc. who worked at any time between April 24, 2021 through March 5, 2026, as Resident Managers. (¶1.5)

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"Class

Period" means the time period of April 24, 2021 through March 5, 2026. (¶1.13)

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"Aggrieved

Employees" are all current and former California non-exempt employees of Defendant HMM Associates, Inc. who worked at any time between April 24, 2024 and March 5, 2026, as Resident Managers. (¶1.4)

“PAGA

Period” means the time period of April 24, 2024 through March 5, 2026. (¶1.31)

“Participating

Class Member” means a Class Member who does not submit a valid and timely Request for Exclusion from the class action portion of the Settlement. (¶1.35)

TERMS OF SETTLEMENT AGREEMENT

The essential terms are as follows:

The Gross

Settlement Amount (“GSA”) is \$290,000, non-reversionary.
(¶3.1)

o Escalator Clause: Defendants have represented that, as of the date of mediation (December 5, 2025), there are: (1) 37 Class Members who worked an aggregate total of approximately 5,048 workweeks during the Class Period; and (2) 25 Aggrieved Employees who worked an aggregate total of 862 PAGA Pay Periods during the PAGA Period. In the event that the actual number of workweeks worked by all Class Members during the Class Period increases by more than 10 percent (i.e., if the actual number of workweeks is 5,553 or more), then, at Defendants’ option, either (1) the Class Period and the PAGA Period shall end on the date that the total Class Workweeks equals 5,553, or (2) the Class Period and the PAGA Period shall remain unchanged, but Defendants shall pay a proportional increase above the Settlement Amount (e.g., Defendants would pay an additional one percent (1%) for additional workweeks that are one percent above 5,553 workweeks). (¶8)

o At preliminary approval, Defendants’ counsel represents that the total workweeks worked by Class Members during the Class Period is 4,748. As such, the Escalator Clause in the Agreement has not been triggered, and the Class Period remains as defined in Paragraph 1.13 of the Agreement. (Declaration of Monte Grix, ¶3.)

The Net

Settlement Amount ("Net") (\$129,610) is the GSA minus the following:

- o Up to \$101,500

(35%) for

attorney fees (§3.2.2);

- o Up to \$20,000 for litigation costs (Ibid.);

- o Up to \$10,000 for an Enhancement Payment

to the Named Plaintiff (§3.2.1);

- o Up to \$3,890 for settlement

administration costs (§3.2.3); and

- o Payment of \$25,000 PAGA penalty (\$16,250

or 65% to the LWDA). (§3.2.5)

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Defendants

are responsible for the employer share of payroll taxes, including the employer FICA, FUTA, and SDI contributions, separate and apart from the Gross Settlement Amount, and these taxes will not be deducted from the Gross Settlement Amount.

(§3.2.4.1)

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There

is no claim form requirement. (§3.1)

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Individual Settlement Payment Calculation: The

Individual Class Payment will be calculated as follows: (a) As reflected in their payroll and time records, Defendants will calculate the total number of weeks in which each individual Participating Class Member ("Individual Workweeks") and all aggregate Participating Class Members ("Class Workweeks") performed any work during the Class Period; (b) dividing each Participating Class Member's Individual Workweeks by the Total Class Workweeks; and (c) multiplying the result by the Net Settlement Amount to determine each Estimated Individual Settlement Payment. (§3.2.4)

o Non-Participating Class Members will not receive any Individual Class Payments for the class action portion of the Settlement. The Administrator will retain amounts equal to their Individual Class Payments in the Net Settlement Amount for distribution to Participating Class Members pursuant to the formula in Paragraph 3.2.4. (¶3.2.4.2)

o PAGA Payments: The Administrator will calculate each Individual PAGA Payment by (a) dividing the amount of the Aggrieved Employees' 35% share of PAGA Penalties (\$8,750.00) by the total number of PAGA Pay Periods worked by all Aggrieved Employees during the PAGA Period and (b) multiplying the result by the total number of PAGA Pay Periods worked by each Aggrieved Employee. (¶3.2.5.1)

o Tax Allocation: Individual Class Payments made to Participating Class Members will be attributed as twenty percent (20%) wages and eighty percent (80%) interest and penalties. Individual PAGA Payments will be allocated as 100% penalties. (¶3.2.4.1)

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Response Deadline: "Response Deadline" means sixty (60) calendar days after the Administrator mails Notice to Class Members and Aggrieved Employees, and shall be the last date on which Class Members may: (a) fax, email, or mail Requests for Exclusion from the Settlement, or (b) fax, email, or mail their Objection to the Settlement. Class Members to whom Notice Packets are resent after having been returned undeliverable to the Administrator shall have an additional fourteen (14) calendar days beyond the Response Deadline has expired. (¶1.42) The same deadline applies to the submission of workweek disputes. (¶7.6)

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Funding

of Settlement: Defendants shall fully fund the Gross Settlement Amount, along with all amounts necessary to fully pay Defendants' share of payroll taxes (which will be paid separate and apart from the Gross Settlement Amount), by transmitting the funds into a Qualified Settlement Fund ("QSF") established and maintained by the Administrator within thirty (30) days after the Effective Date or March 1, 2027, whichever occurs first. If any such payment date falls upon a weekend or holiday, the payment date shall be the first business day thereafter. (¶4.2)

Disbursement:

Within ten (10) business days after Defendants full funding of the Gross Settlement Amount, the Administrator will mail checks for all Individual Class Payments, all Individual PAGA Payments, the LWDA PAGA Payment, the Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representative Enhancement Payment. Disbursement of the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representative Enhancement Payment shall not precede disbursement of Individual Class Payments and Individual PAGA Payments. (§4.3)

Uncashed Settlement Checks: The face of each check shall prominently state the date (180 days after the date of mailing) when the check will be voided. (§4.3.1) For any Class Member whose Individual Class Payment check or Individual PAGA Payment check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such checks to the State Controller Unclaimed Property Fund. After the void date, the Parties will submit a declaration from the Administrator attesting to the total amount that was actually paid to the Participating Class Members and Aggrieved Employees along with any interest accrued thereon. The Parties will concurrently submit an amended Judgment to direct the Administrator to disburse these amounts to the State Controller Unclaimed Property Fund in compliance with California Code of Civil Procedure § 384(b). (§4.3.3)

The settlement administrator will be Apex Class Action Administration. (§1.2)

The proposed Settlement Agreement was submitted to the LWDA on June 5, 2026. (Moen Decl., Exhibit 3.)

Participating class members and the named Plaintiff will release certain claims against Defendant. (See further discussion below)

ANALYSIS OF SETTLEMENT AGREEMENT

1. Does a presumption of fairness exist?

1.

Was

the settlement reached through arm's-length bargaining? On December 5, 2025, the Parties participated in a full day mediation with Jason Marsili, Esq., which resulted in settlement when the parties accepted the mediator's proposal. (Moen Decl., ¶43.)

2.

Were

investigation and discovery sufficient to allow counsel and the court to act intelligently? Class Counsel represents that in connection with mediation, Defendants provided Plaintiff with payroll and timekeeping records for an approximately 60% random and representative sampling of the Settlement Class spanning the putative class period, along with additional key data points and policy documents. Plaintiff conducted an analysis of this data and created a damages model to calculate the likely exposure that Defendants faced on each claim. (Id. at ¶23.)

3.

Is

counsel experienced in similar litigation? Yes. Class Counsel is experienced in class action litigation, including wage and hour class actions. (Id. at ¶15.)

4.

What

percentage of the class has objected? This cannot be determined until the fairness hearing. See Weil & Brown, Cal. Practice Guide:

Civil Procedure Before Trial (The Rutter Group 2014) ¶ 14:139.18, ("Should the court receive objections to the proposed settlement, it will consider and either sustain or overrule them at the fairness hearing.").

CONCLUSION: The settlement is entitled to a presumption of fairness.

2.

Is the settlement fair, adequate, and reasonable?

1.

Strength

of Plaintiff's case. "The most important factor is the strength of the case for plaintiff on the merits, balanced against the amount offered in settlement." (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 130.) Here,

Class Counsel has provided information, summarized below, regarding the estimated values of the class claims alleged:

Violation

Maximum Exposure

Realistic Exposure

Unpaid

Wages

\$180,016.00

\$91,808.00

Meal

Period Violations

\$101,236.00

\$60,742.00

Rest

Period Violations

\$202,471.00

\$97,186.00

Unreimbursed

Business Expenses

\$25,240.00

\$15,144.00

Wage

Statement Penalties

\$84,950.00

\$44,599.00

Waiting

Time Penalties

\$39,600.00

\$19,305.00

PAGA

Penalties

\$86,200.00

\$29,093.00

Total

\$719,713.00

\$357,877.00

(Moen

Decl., ¶¶31-42.)

2. Risk, expense, complexity and likely duration of further litigation. Given the nature of the class claims, the case is likely to be expensive and lengthy to try. Procedural hurdles (e.g., motion practice and appeals) are also likely to prolong the litigation as well as any recovery by the class members.

3. Risk of

maintaining class action status through trial. Even if a class is certified, there is always a risk of decertification. (See *Weinstat v. Dentsply Intern., Inc.* (2010) 180 Cal.App.4th 1213, 1226 (“Our Supreme Court has recognized that trial courts should retain some flexibility in conducting class actions, which means, under suitable circumstances, entertaining successive motions on certification if the court subsequently discovers that the propriety of a class action is not appropriate.”).)

4. Amount offered in settlement. Plaintiff’s

counsel estimated Defendants’ maximum exposure at \$719,713 and realistic exposure at \$357,877. Plaintiff’s counsel obtained a \$290,000 non-reversionary settlement. This is approximately 40.3% of Plaintiff’s potential maximum recovery and 81% of the estimated realistic recovery which, given the uncertain outcomes, is within the “ballpark” of reasonableness.

The settlement amount, if reduced by the requested deductions, leaves approximately \$129,610 to be divided among approximately 37 class members. Assuming full participation, the resulting payments will average approximately \$3,502.97 per class member.

5. Extent of discovery completed and stage of

the proceedings. As indicated above, at the time of the settlement, Class Counsel had conducted sufficient discovery.

6. Experience and views of counsel. The settlement was negotiated and endorsed by

Class Counsel who, as indicated above, is experienced in class action litigation, including wage and hour class actions.

7. Presence of a governmental participant. This factor is not applicable here.

8. Reaction of the class members to the

proposed settlement. The class members’ reactions will not be known until they receive notice and are afforded an opportunity to object, opt-out and/or submit claim forms. This factor becomes relevant during the fairness hearing.

CONCLUSION: The settlement can be preliminarily deemed “fair,

adequate, and reasonable.”

3.

Scope of the release

Releases of Claims. As of the Effective

Date and Defendants’ full funding of the Gross Settlement Amount, Plaintiff, Participating Class Members and Aggrieved Employees hereby fully and forever release and discharge all claims against all Released Parties as follows: (¶15)

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Release by Participating Class Members: Upon entry of the final order and judgment and Defendants’ full funding of the Gross Settlement Amount, Plaintiff and all Participating Class Members who do not validly and timely request to be excluded from the class action portion of the Settlement, and each of their respective successors, agents, heirs, administrators, and assigns release the Released Parties from all claims, rights, demands, liabilities, and causes of action that were alleged or reasonably could have been alleged based on the facts alleged in the operative First Amended Complaint in the Action, that accrued during the Class Period. The time period covered by this release mirrors the Class Period. (¶15.2)

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Release by Aggrieved Employees: Upon entry of the final order and judgment and Defendants’ full funding of the Gross Settlement Amount, Plaintiff and all Aggrieved Employees shall on behalf of themselves and on behalf of the LWDA waive, release, and forever discharge the Released Parties from all claims for civil penalties under PAGA (the California Private Attorneys General Act, Labor Code section 2698, et seq.), that were alleged, or reasonably could have been alleged, based on the facts alleged in the operative First Amended Complaint in the Action and Plaintiff’s PAGA Notice, that accrued during the PAGA Period. The time period covered by this release mirrors the PAGA Period. (¶15.3)

o “PAGA Notice” means

Plaintiff’s letter dated April 24, 2025, to Defendants and the LWDA providing notice pursuant to Labor Code § 2699.3, subd.(a). (¶1.33)

o Non-Participating

Class Members who are Aggrieved Employees are deemed to release the claims

identified in Paragraph 5.3 of this Agreement and are eligible for an Individual PAGA Payment. (¶7.5.4)

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“Released Parties” means: Defendants and each of their respective and former parents, subsidiaries, and affiliated corporations, and each of their officers, directors, shareholders, employees, agents, attorneys, and successors-in-interest, if any. (¶1.40)

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Named Plaintiff will also provide a general release and CC § 1542 waiver. (¶¶5.1-5.1.1)

4.

May conditional class certification be granted?

1.

Standards

A detailed analysis of the elements required for class certification is not required, but it is advisable to review each element when a class is being conditionally certified (*Amchem Products, Inc. v. Windsor* (1997) 521 U.S. 620, 622-627.) The trial court can appropriately utilize a different standard to determine the propriety of a settlement class as opposed to a litigation class certification. Specifically, a lesser standard of scrutiny is used for settlement cases. (*Dunk* at 1807, fn 19.) Finally, the Court is under no “ironclad requirement” to conduct an evidentiary hearing to consider whether the prerequisites for class certification have been satisfied. (*Wershba* at 240.)

2.

Analysis

a.

Numerosity. There are approximately 37 class members. (Moen Decl., ¶45.) This element is met.

b.

Ascertainability. The proposed class is defined above. The class definition is “precise, objective and presently ascertainable.” (Sevidal v. Target Corp. (2010) 189 Cal.App.4th 905, 919.) The class members are identifiable from Defendants’ records. (Moen Decl., ¶145.)

c.

Community of interest. “The community of interest requirement involves three factors: ‘(1) predominant common questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class.’” (Linder v. Thrifty Oil Co. (2000) 23 Cal.4th 429, 435.)

As to commonality, Plaintiff alleges that his claims are predicated on uniform company policies, principally revolving around Defendant’s overtime and minimum wage policies and practices, meal and rest period policies and practices, and reimbursement policies and practices, which he argues are types of claims are commonly held to be proper for class certification. (Memo ISO Prelim at 19:2-12.)

As to typicality, Plaintiff contends that his claims are typical of those of the Settlement Class members. Like other Settlement Class members, Plaintiff was employed by Defendants as a nonexempt Resident Manager in California during the Class Period, was impacted by the same challenged policies that allegedly injured the Settlement Class as a whole, and was subject to the same defenses forwarded by Defendants as to the Settlement Class. (Id. at 19:14-20.)

As to adequacy, Plaintiff represents that he is aware of the duties and risks of serving as class representative and has participated in the litigation. (Declaration of Nart Khatib, ¶¶4-5.)

d.

Adequacy of class counsel. As indicated above, Class Counsel has shown experience in class action litigation, including wage and hour class actions.

e.

Superiority. Given

the relatively small size of the individual claims, a class action appears to be superior to separate actions by the class members.

CONCLUSION: The class may be conditionally certified since the prerequisites of class certification have been satisfied.

5.

Is the notice proper?

1.

Content

of class notice. The proposed notice is attached to the Settlement Agreement as Exhibit A. Its content appears to be acceptable. It includes information such as: a summary of the litigation; the nature of the settlement; the terms of the settlement agreement; the proposed deductions from the gross settlement amount (attorney fees and costs, enhancement awards, and administration costs); the procedures and deadlines for participating in, opting out of, or objecting to, the settlement; the consequences of participating in, opting out of, or objecting to, the settlement; and the date, time, and place of the final approval hearing.

Notice will be given in English only, which is sufficient based upon Defendants' job criteria that Resident Managers are able to speak English. (Memo ISO Prelim at 20:28-21:1)

2.

Method

of class notice.

Not later than ten (10) business days after the Court grants Preliminary Approval of the Settlement, Defendants will deliver the Class Data to the Administrator (to the extent such information is available). (¶4.1) Using best efforts to perform as soon as possible, and on or before ten (10) business days after receiving the Class Data from Defendants, the Administrator will send to all Class Members identified in the Class Data, via first-class United States Postal Service ("USPS") mail, the Class Notice. Before mailing Class Notices, the Administrator shall update Class Member addresses using the National Change of Address database. (¶7.4.2)

Not later than

seven (7) days after the Administrator's receipt of any Class Notice returned by the USPS as undelivered, the Administrator shall re-mail the Class Notice using any forwarding address provided by the USPS. If the USPS does not provide a forwarding address, the Administrator shall conduct a Class Member Address Search, and re-mail the Class Notice to the most current address obtained. The Administrator has no obligation to make further attempts to locate or send Class Notice to Class Members whose Class Notice is returned by the USPS after being re-mailed a second time. (§7.4.3)

The deadlines for Class Members' written objections, challenges to Class Period Workweeks and PAGA Pay Periods, and Requests for Exclusion will be extended an additional fourteen (14) days beyond the sixty (60) days otherwise provided in the Class Notice for all Class Members whose notice is re-mailed. (§7.4.4) Notice of Final Judgment will be posted on the Settlement Administrator's website. (§7.8.1)

3.

Cost

of class notice. As indicated above, settlement administration costs are estimated not to exceed \$3,890. Prior to the time of the final fairness hearing, the claims administrator must submit a declaration attesting to the total costs incurred and anticipated to be incurred to finalize the settlement for approval by the Court.

6. Attorney fees and costs

CRC rule 3.769(b) states: "Any agreement, express or implied, that has been entered into with respect to the payment of attorney fees or the submission of an application for the approval of attorney fees must be set forth in full in any application for approval of the dismissal or settlement of an action that has been certified as a class action."

Ultimately, the award of attorney fees is made by the court at the fairness hearing, using the lodestar method with a multiplier, if appropriate. (PLCM Group, Inc. v. Drexler (2000) 22 Cal.4th 1084, 1095-1096; Ramos v. Countrywide Home Loans, Inc. (2000) 82 Cal.App.4th 615, 625-626; Ketchum III v. Moses (2000) 24 Cal.4th 1122, 1132-1136.) Despite any agreement by the

parties to the contrary, "the court ha[s] an independent right and responsibility to review the attorney fee provision of the settlement agreement and award only so much as it determined reasonable." (Garabedian v. Los Angeles Cellular Telephone Company (2004) 118 Cal.App.4th 123, 128.)

The question of whether Class Counsel is entitled to \$101,500 (35%) in attorney fees will be addressed at the fairness hearing when class counsel brings a noticed motion for attorney fees. Class counsel must provide the court with billing information so that it can properly apply the lodestar method and must indicate what multiplier (if applicable) is being sought as to each counsel.

Class Counsel should also be prepared to justify the costs sought (capped at \$20,000) by detailing how they were incurred.

7.

Incentive Award

The Settlement Agreement provides for an enhancement award of up to \$10,000 to the named Plaintiff. In connection with the final fairness hearing, named Plaintiffs must submit a declaration attesting to why he or she should be entitled to an enhancement award in the proposed amount. The named Plaintiff must explain why he or she "should be compensated for the expense or risk she has incurred in conferring a benefit on other members of the class." (Clark v. American Residential Services LLC (2009) 175 Cal.App.4th 785, 806.) Trial courts should not sanction enhancement awards of thousands of dollars with "nothing more than pro forma claims as to 'countless' hours expended, 'potential stigma' and 'potential risk.' Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiff, is required in order for the trial court to conclude that an enhancement was 'necessary to induce [the named plaintiff] to participate in the suit'" (Id.

at 806-807, italics and ellipsis in original.)

The Court will decide the issue of the enhancement awards at the time of final approval.